Cambridge (CIE) A Level Business

Your notes

Organisational Structure (A Level)

Contents

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The importance of organisational structure

- Organisational structure outlines the **reporting relationships, roles** and **responsibilities of employees** in the organisation
- Businesses must choose a structure that allows them to **effectively implement** ideas and achieve objectives
  - They should consider how the structure may affect the **management and effectiveness of operations** and communications
- A well-designed organisational structure helps to promote clarity, efficiency and accountability

The purpose of organisational structure

- **Clarifies roles and responsibilities**
  - A clear structure means employees understand their job roles, what is expected of them and who they report to
  - This reduces confusion and helps staff stay focused
- **Improves communication**
  - Organisational charts help create clear lines of communication between managers and employees
  - This makes it easier to pass on information, give feedback and make sure everyone is informed
- **Supports decision-making**
  - By clearly showing who has authority at each level, the structure allows decisions to be made more quickly and by the right people
  - This helps avoid delays and overlapping responsibilities
- **Helps coordinate activities**
  - Structure links different departments, like marketing, operations and finance, so that they can work together effectively towards shared business goals

Attributes of an effective organisational structure

Attribute	Explanation
Flexibility	▪ An effective structure can adapt to change, such as new technology or market trends ▪ It avoids being too rigid

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Meets the needs of the business	▪ The structure suits the size, style, and strategy of the business, whether it's a small local shop or a global firm
Allows for growth and development	▪ A good structure makes it easier to add new departments or roles as the business expands
Encourages intrapreneurship	▪ When employees are trusted with responsibility and freedom, it promotes innovation and creative thinking

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Features of a formal organisational structure

- Organisational structure is the **way a business is arranged** to carry out its work effectively
- It shows **how employees are grouped**, how **authority** flows, and how **tasks are divided** across the organisation

Terminology used in organisational structures

Term	Definition	Explanation
Hierarchy	▪ The number of layers of management and supervision within an organisation	▪ It shows how many steps there are from the top (senior management) to the bottom (operational staff) ▪ A tall structure has many levels, while a flat structure has few, which affects communication, control and decision-making speed
Chain of command	▪ The chain of command is the formal line of authority that flows down from the top management to lower-level employees	▪ It defines who reports to whom and who is responsible for making decisions ▪ The chain of command helps establish a clear communication channel and helps maintain accountability within the business
Span of control	▪ Span of control refers to the number of employees that a manager or supervisor effectively manages	▪ It is based on the principle that a manager can only effectively manage a limited number of employees ▪ A narrower span of control means more layers of management ▪ A wider span of control means fewer layers

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Centralised	▪ Decision-making authority is concentrated at the top of the organisation	▪ Senior management make most of the key decisions ▪ Centralisation can promote consistency and control
Decentralised	▪ Decision-making is distributed throughout the organisation	▪ Lower-level employees have more decision-making power ▪ Decentralisation can promote flexibility and innovation
Authority	▪ Authority is the official power given to a person to make decisions and give orders	▪ It flows down the organisational hierarchy and allows managers to direct others, allocate resources and take responsibility for decisions
Delegation	▪ Delegation is the process of passing authority from a manager to a subordinate	▪ A manager gives responsibility for a task to someone else but remains responsible for the outcome ▪ It helps develop staff and reduce the manager's workload
Accountability	▪ Accountability is the requirement to explain and take responsibility for actions or decisions	▪ Even when tasks are delegated, managers are still accountable for results ▪ Clear accountability ensures people are held responsible for their performance

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Functional structure

- Employees are arranged into different functions that fulfil particular roles, such as finance, human resources or marketing
  - Employees are **arranged according to their expertise**, bringing appropriate skills, experience and qualifications to a particular area of the business
  - There is a danger that functional areas **focus only on their own area** of responsibility and lose touch with the objectives of the business as a whole

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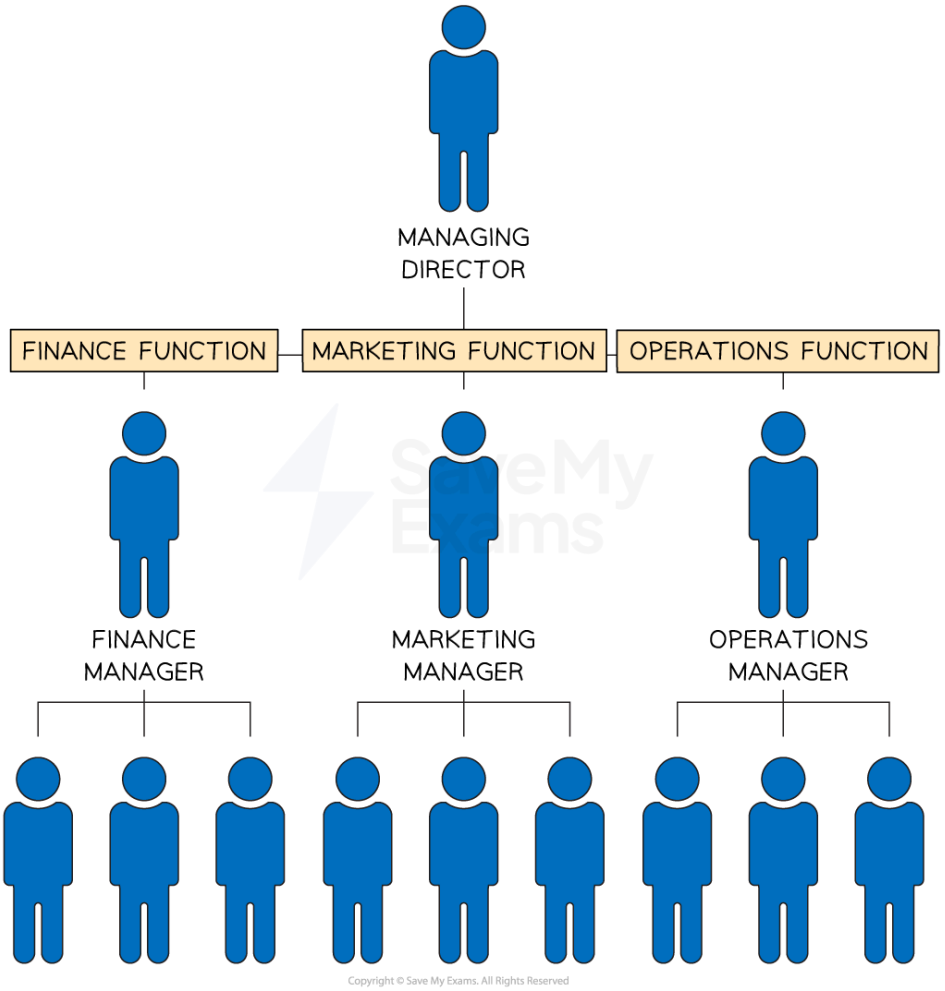

Organisation by function involves grouping workers according to the section of the business in which they work

Evaluation of functional structures

Advantages	Disadvantages
▪ **Specialisation** ▪ Employees develop expertise by working in specific departments such as marketing or finance	▪ **Lack of coordination** ▪ Departments may focus only on their own goals, not those of the whole business
▪ **Efficiency** ▪ Tasks are clearly divided, making it easier to train staff and manage performance	▪ **Slow decision making** ▪ Decisions may take longer as communication must go through several layers
▪ **Clear chain of command**	▪ **Limited flexibility**

▪ Everyone knows who they report to and what their responsibilities are	▪ Employees may not easily adapt to changes or work outside their department
▪ **Accountability** ▪ Managers are responsible for the performance of their department	▪ **Poor communication between departments** ▪ Can lead to misunderstandings or duplicated work

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Hierarchical structure

- Functional organisation structures are typically either tall or flat

Tall organisational structures

- Tall structures are common in large organisations with complex operations, such as government agencies and universities
- They are characterised by
  - **Multiple levels of management**
  - A more **centralised** decision making process
  - A **long chain of command** and **narrow spans of control**

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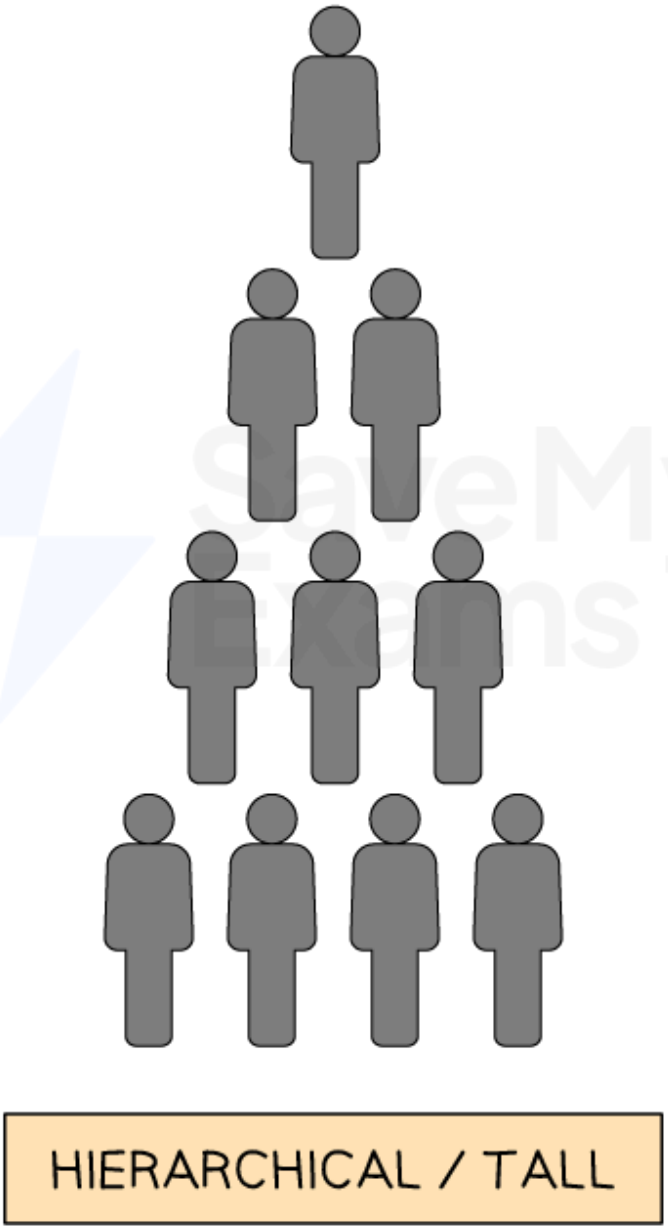

A tall - or hierarchical - structure with a long chain of command and narrow span of control

Evaluation of tall structures

Advantages	Disadvantages
▪ Provides a **clear hierarchy** of authority and defined roles and responsibilities ▪ **Promotes specialisation** and expertise within each department	▪ Can create **communication barriers** between the upper and lower levels of the hierarchy ▪ **Decision-making can be slow** as information must pass through multiple

or function ▪ Offers **opportunities for career advancement** within the organisation ▪ All of the above increases efficiency and motivation	layers of management ▪ This can lead to **bureaucracy** and excessive levels of management ▪ All of the above reduce efficiency and motivation

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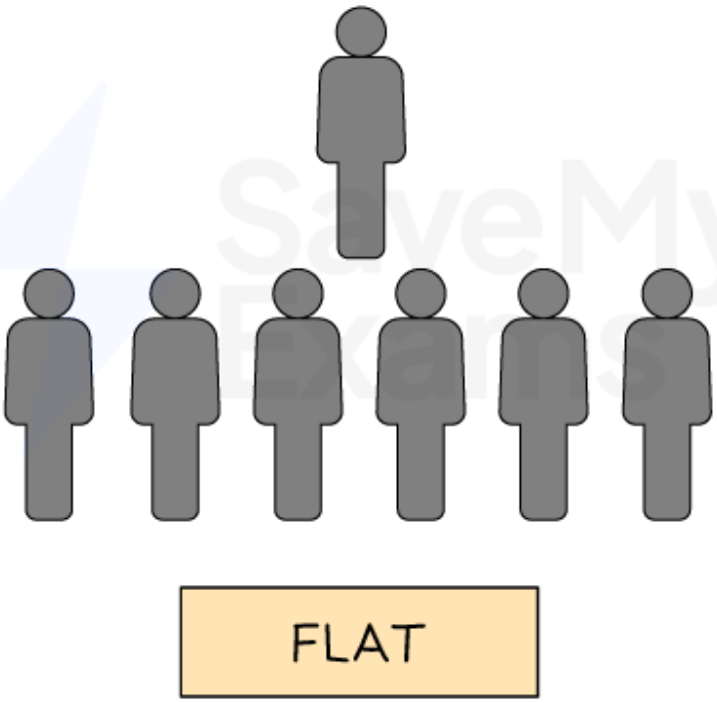
Flat organisational structures

- Flat structures are common in small organisations or start-ups
- They are characterised by
  - Fewer levels of management
  - A **more decentralised decision-making process**
  - A **short chain of command** and **wide spans of control**



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A flat organisational structure with a short chain of command and wide span of control

Evaluation of flat structures

Advantages	Disadvantages
▪ Promotes **collaboration** and open communication	▪ This can lead to **role ambiguity** and a lack of a clear hierarchy

▪ Decision-making can be **faster and more efficient** ▪ Encourages **creativity** and **innovation** as employees have more autonomy and flexibility ▪ All of the above increases efficiency and motivation	▪ May not provide clear opportunities for **career advancement** or promotion ▪ This may require employees to take on **multiple roles** and responsibilities, **leading to burnout** and overwhelm ▪ All of the above reduce efficiency and motivation

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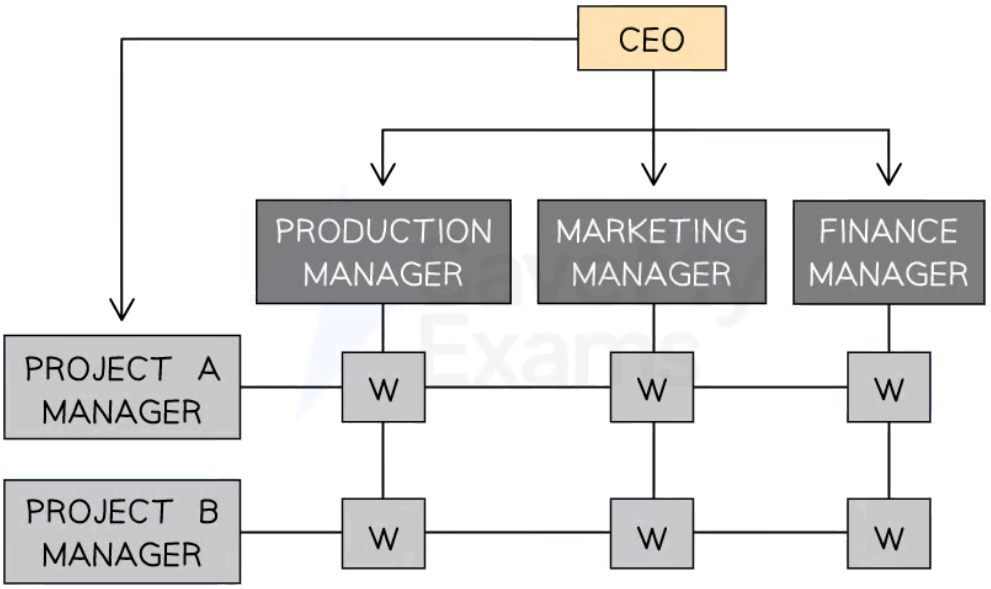
Matrix structure

- Matrix structures are usually **built around specific products** or projects
  - e.g. KitKat has its own team within Nestlé
- They combine the **functional areas** of a business with a **specialist team** that operates inside the business

A matrix organisational structure



A matrix structure built around specific projects

Evaluation of matrix structures

Advantages	Disadvantages
▪ Promotes **cross-functional collaboration** and communication ▪ Allows for **specialisation and expertise** within each functional area	▪ This can lead to **conflicts over priorities and resources** ▪ This can create **confusion over roles** and responsibilities, particularly when multiple managers are involved

▪ Enables efficient allocation of resources and **coordination of multiple projects** ▪ All of the above increases efficiency and motivation	▪ **Requires a high degree of communication** and coordination, which can be challenging ▪ All of the above reduce efficiency and motivation

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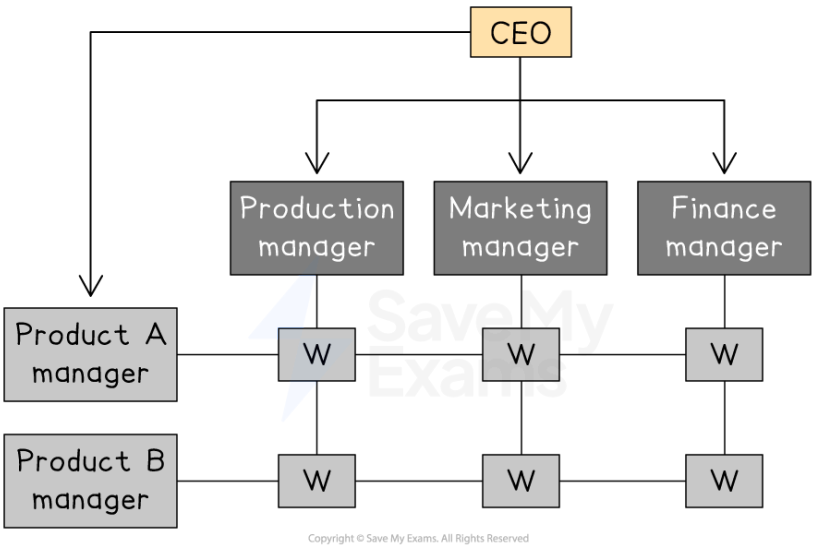
Organisational structure by product or geographical area

- As businesses grow, especially large or multinational firms, they may choose to structure themselves **by product** or **by region** instead of using a simple functional structure
- This helps them manage the growing complexity of operations and respond to specific customer or market needs

Product-based organisational design

- The business is split into **divisions** based on individual products or product lines
  - Each division handles its own marketing, operations and finances
    - E.g. **Unilever** has a product-based structure, with teams dedicated to categories like personal care, home care, and food and drink brands
- It combines the **functional areas of a business** (HR, finance, marketing, sales) **with a specialist team** that operates inside the business
  - Each division handles its own marketing, operations, and finances

A product based structure



An example of a project or product based structure where workers are grouped according to the project on which they are employed

Evaluating a product based structure

Advantages	Disadvantages
▪ Focuses on specific products or product lines, allowing **tailored strategies** to meet customer needs	▪ Can lead to **duplication of resources**, such as separate marketing teams for each product
▪ Encourages **accountability** as each product team is responsible for its own performance	▪ Risk of **internal competition** between product divisions, which may harm overall company goals
▪ Enhances **flexibility** and responsiveness to changes in product markets	▪ May result in **inconsistent** company-wide policies and standards
▪ Improves **decision-making speed**, as product managers can act quickly without needing to consult other departments	▪ Requires **more managers and skilled staff**, which can increase costs
▪ Easier to **measure performance** and profitability by product	▪ **Coordination** between products and company-wide strategy can be difficult

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Regional organisational design

- This structure is commonly found in businesses that are located in **several different geographical locations –** either national or international
  - Regional management and structures allow a business to **respond effectively to the needs of customers** in diverse locations

Organisation by region

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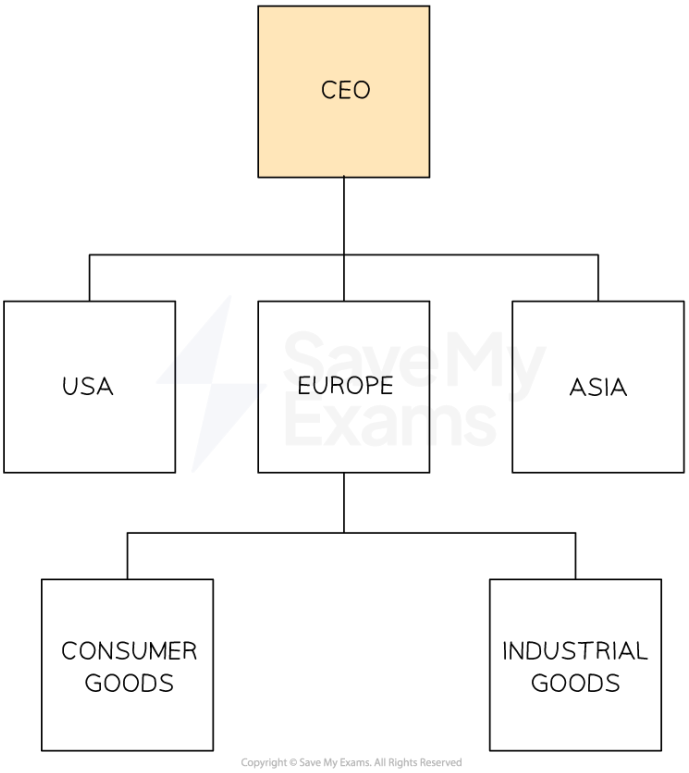

Organisation by region involves grouping workers according to their location

Evaluating a regional structure

Advantages	Disadvantages
▪ Allows decisions to be made closer to **local markets**, improving customer satisfaction	▪ Can lead to **duplication of roles** and resources across regions
▪ Helps the business **respond quickly** to local trends, laws and competition	▪ **Increases costs** due to the need for multiple regional offices and management teams
▪ Encourages stronger **relationships with local stakeholders**, such as suppliers and governments	▪ May cause **inconsistent messaging** or branding between regions
▪ Employees can develop **expertise** in regional markets and cultures	▪ **Communication** and **coordination** between regions and headquarters can be challenging
▪ Enables **tailored marketing** and product strategies to suit local preferences	▪ Risk of regional teams **prioritising local goals** over global company objectives

Reasons and ways structures change

Your notes

- As a business grows or faces new challenges, it may need to change its organisational structure to stay efficient, competitive and focused on its goals

Reasons for changing organisational structure

Reason	Explanation
Business growth	▪ As a company expands, more departments, roles and levels of management may be needed to handle increased complexity
Delayering	▪ Removing layers of management to make the business structure flatter ▪ This can reduce costs and improve communication
Retrenchment	▪ A business may shrink its structure due to falling profits, so functions or jobs are removed to cut costs
Entering new markets	▪ Expanding into new regions or countries may require a regional structure to manage operations more effectively
Introducing new technology	▪ Automation or new systems may reduce the need for some roles or change how teams are structured
Mergers or acquisitions	▪ When two businesses combine, the structure must be reorganised to bring people and processes together

Case Study

Zenta Electronics is a mid-sized consumer electronics company based in Malaysia. It has experienced rapid growth due to high demand for its smart home devices. Its original functional structure became slow and difficult to manage.

Changes

- Zenta moved to a product-based structure, creating separate divisions for smart lighting, home security and audio products
- Each division had its own marketing, design and sales teams
- The company also delayered, removing one layer of middle management to speed up communication and reduce salary costs

Outcome

- The business became more responsive to customer needs and innovation improved in each product division
- Employee morale rose due to clearer roles and faster decision-making
- Profits increased by 15% within a year

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The relationship between delegation and accountability

- **Delegation** occurs when responsibility for specific tasks is given to subordinates by managers
  - It is **particularly important in businesses with a flat organisational structure**, where managers have a wide **span of control**
  - It usually involves **transferring authority** from manager to subordinate
    - E.g. The HR director of a large company **delegates authority** for recruitment and training to the Recruitment and Training Manager
  - Tasks that are delegated need to be **well-defined,** and instruction may be required
- **Accountability** means that an individual has the responsibility to **report on** and **explain their actions** fully and honestly
  - Accountability requires several important components to be present
    - Clear **expectations** of anticipated outcomes are agreed upon
    - The accountable employee has appropriate **skills, training** and **experience**
    - Effective **communication** throughout the delegated task takes place, including ongoing feedback
    - There are clear **consequences** related to performance
- Effective **delegation** involves giving both **authority** to subordinates to make decisions and demanding **accountability** for those decisions

Implications of delegation

Implications for managers	Implications for workers

▪ Allows managers to **concentrate on important tasks**
  ▪ Managers do not have the time to do complete every task themselves
	▪ Delegation allows workers to **feel empowered in decision-making**
	  ▪ This can motivate staff as they are trusted to perform a job well

▪ It helps managers **measure the performance of their staff** as they can judge how well subordinates carry out these tasks	▪ Provides **a form of training** as workers learn on the job, thus increasing job opportunities to progress within the organisation

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▪ It can help **reduce errors** if managers delegate ▪ Workers may be skilled in certain areas and have sufficient time to complete the task to a higher standard	▪ Makes employees' **work more interesting and rewarding** ▪ This could reduce absenteeism and labour turnover
▪ When a manager delegates tasks, they **give up a level of direct oversight** ▪ This can lead to inconsistent results if the task is not completed to the expected standard or if the employee lacks the required skills	▪ Delegation can place **stress on workers** who may feel unprepared or unsupported when taking on more complex tasks. ▪ If expectations are unclear or if the employee lacks confidence, added responsibility can reduce morale and lead to anxiety about making mistakes
▪ Delegation may make it **harder for a manager to stay informed** about all aspects of the work ▪ This is especially significant in fast-moving or high-stakes environments	▪ When tasks are delegated, workers may **do the work but not receive credit** for their efforts ▪ If the manager receives credit it can lead to frustration, demotivation and a sense of being undervalued

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Examiner Tips and Tricks

In the exam, you could be asked to analyse delegation as a way to motivate workers. While some may see having more authority as a non-financial incentive that motivates them, some workers may be anxious about taking on extra responsibility or lack the appropriate skills.

The difference between authority and responsibility

- **Authority** is the right or power to give orders, make decisions and control resources
  - It allows a person (usually a manager or supervisor) to direct others and take action to achieve business goals
- **Responsibility** is the duty to complete a task or meet a target
  - It means being accountable for doing a job properly and on time, even if the task was delegated to someone else

Authority and responsibility: key considerations

1. **Authority and responsibility must go hand in hand**
    - A person who is responsible for a task should also be given enough authority to carry it out effectively
2. **Authority should match responsibility:**
    - For example, if a team leader is responsible for meeting a deadline, they need the authority to assign tasks, set priorities, and manage team members
    - If someone is responsible but has *no authority*, they might fail due to lack of power or resources
3. **Imbalance can cause problems**
    - Too much authority but not enough responsibility can lead to misuse of power or unfair delegation
    - Too much responsibility but not enough authority can lead to frustration and failure to complete tasks
4. **Authority, responsibility and delegation**
    - A manager may delegate authority and responsibility, but ultimate responsibility stays with the manager
    - For example, if a supervisor delegates stock checks to a worker, the worker is responsible for doing it, but the supervisor is still accountable overall

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Conflicts between control and trust when delegating

- **Control** is the manager's need to monitor, direct, and ensure tasks are done correctly and on time
    - This control helps maintain standards and avoid mistakes and helps ensure the business is on track to achieve its goals
    - However, if a manager retains too much control, workers can feel micromanaged, reducing their morale and limiting their initiative
- **Trust** is the belief that employees will complete tasks responsibly without needing constant supervision
    - When managers trust their subordinates, it builds confidence, improves relationships and increases motivation
    - However, too much trust without enough control may lead to errors, missed deadlines or a lack of accountability

Where conflict happens

Situation	Conflict

A manager gives a task but constantly checks in	▪ This shows a lack of trust ▪ Employee may feel they aren't trusted to work independently, which can lead to low motivation, frustration and reduced confidence ▪ It may also slow down progress if the employee keeps stopping to report back
A task is fully handed over with no follow-up	▪ This shows too much trust without enough control ▪ The manager may lose oversight of progress, miss early signs of problems or discover the task was done incorrectly too late ▪ It puts the business at risk and can result in poor outcomes
An employee makes a mistake and the manager takes back control	▪ This can damage future trust ▪ If a manager quickly takes over after one mistake, the employee may become afraid to try again ▪ This limits their growth, discourages learning from errors, prevents skill development, and also creates dependence on the manager

Your notes

Case Study

Improving delegation at Fernside Hotels Group

Fernside Hotels is a small chain of boutique hotels across the UK.

The manager of one hotel, Sarah, needed to organise a last-minute promotional event to increase local bookings during a quiet season.

She delegated the task of planning the event to Callum, the hotel's Events and Guest Experience Coordinator

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Conflict

- Although Sarah delegated the task, she kept dropping in to check on Callum's progress, making frequent suggestions and requesting small changes.
- Callum began to feel **undermined and frustrated**
  - He had previously successfully managed smaller events and now felt a lack of trust
  - He became less confident about making decisions, which slowed down the planning process
- Sarah was worried the event might not reflect the brand standards if she wasn't closely involved

Conflict resolution

- After an honest conversation, Sarah and Callum recognised the tension was hurting performance and morale
- Sarah reflected on her approach and decided to manage delegation more effectively, using clear steps

Steps	Explanation
Clear expectations and deadlines	▪ Sarah outlined the event goals of increasing weekend bookings, appealing to local families and reflecting the hotel's eco-friendly image ▪ She gave Callum a deadline for the full plan and explained the level of quality expected
Authority with support	▪ Callum was given full responsibility for choosing suppliers, designing the promotional materials and managing bookings ▪ Sarah made it clear she trusted him and that she'd be available for advice, but wouldn't take over
Structured check-ins	▪ They set two check-ins: one after the initial proposal and one closer to the event date

	▪ This allowed Sarah to stay informed and offer input only at useful points

Review of outcomes

- After the event, which was a success and boosted weekend bookings by 30%, they sat down to reflect
- Sarah praised Callum's creativity and organisation, and they identified one or two areas for improvement next time

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The impact of centralisation and decentralisation

Centralised structures

- In a **centralised structure**, decision-making authority is **concentrated** at the top of the organisation
  - Senior managers make most of the decisions at head office rather than staff in local branches or departments

Impacts of centralisation

- **Consistency**
  - Decisions are made by a small group of managers, ensuring a consistent approach in all areas of the business
- **Stronger control**
  - Senior leaders can closely monitor performance and ensure everyone follows the same policies
- **Quicker decisions in emergencies**
  - In urgent situations, central leadership can act fast without waiting for input from others
- **Lower risk of mistakes by inexperienced staff**
  - Decisions are made by experienced managers, reducing the chance of poor judgement at lower levels
- **Slow decision-making in day-to-day situations**
  - Local managers must wait for approval, which delays responses to problems or customer needs
- **Less input from employees**
  - Staff may feel demotivated if they are not trusted to make decisions or give ideas
- **Less flexibility**
  - The business may struggle to respond to local conditions or market changes quickly
- **Higher pressure on senior managers**
  - A small group of people must make many decisions, which can lead to overload or errors

Decentralised structures

- Decentralisation is when **decision-making is spread out** across different levels of the business

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- Lower-level managers or local branches have the authority to make decisions without always needing approval from head office

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Impacts of decentralisation

Positive Impact	Explanation
Fast decision-making at local level	▪ Managers can act quickly without waiting for instructions from senior management
Response to local needs	▪ Local teams understand their customers and markets better and can adapt accordingly
Improved motivation and responsibility	▪ Employees feel trusted and valued, which can lead to higher morale and better performance
Reduced workload for senior managers	▪ Top managers can focus on strategic planning while others handle day-to-day operations
Lack of consistency	▪ Different branches or teams may take different approaches, which could confuse customers or harm the brand
Risk of poor decisions	▪ Less experienced staff may make mistakes without proper guidance or oversight
Difficult to control performance	▪ Senior managers may find it more difficult to monitor progress and keep all teams aligned
High training needs	▪ Staff need proper training and support to make confident and informed decisions

Case Study

Swift Haul Logistics Ltd is a Ireland-based transport company delivering goods nationwide. For years, all decisions, such as delivery routes and staff schedules, were made by head office in Cork

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As the business expanded across the country, local depots struggled to respond quickly to traffic delays, customer issues and staffing needs. This led to driver frustration and falling customer satisfaction.

The move to decentralisation

In 2025, the company shifted to a **decentralised structure**, giving regional depot managers authority to

- Adjust delivery schedules based on local traffic.
- Resolve customer complaints directly.
- Hire and manage local drivers.

The result

- Faster decisions improved delivery punctuality
- Customer satisfaction increased as issues were solved locally
- Staff felt trusted and more motivated
- Senior managers focused on national strategy, not daily problems

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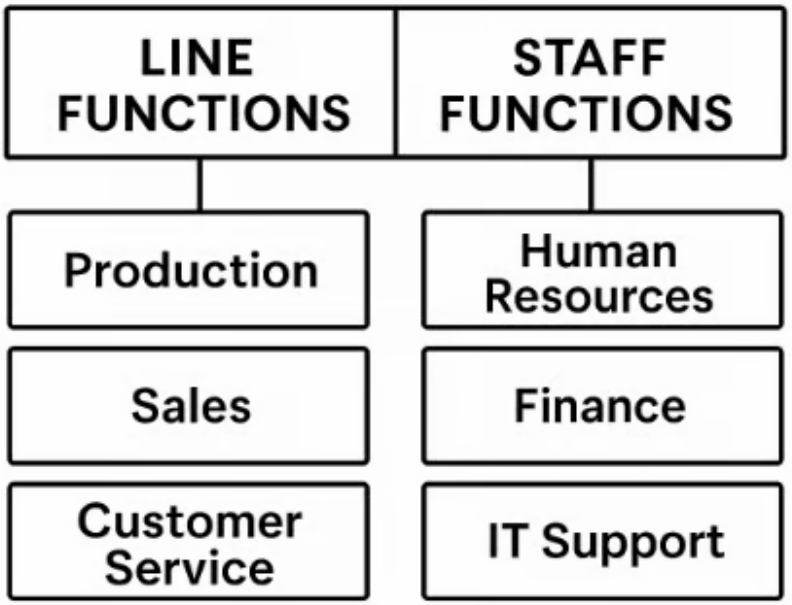
Line and staff functions

- A **line function** is a department or role that is directly involved in achieving the core objectives of the business — typically related to production, sales, or operations
  - These roles have direct responsibility for performance and decision-making in the core areas of producing goods or delivering services
    - E.g. In a car manufacturing company, the **production manager** who oversees vehicle assembly is in a line function because they are directly involved in making the product
- A **staff function** is a department or role that provides **advice, support, or specialist services** to the line departments — but is **not directly involved** in core operations
  - Staff functions usually include **human resources, finance, IT** and **marketing**
    - E.g. The **HR manager** who organises training and recruitment for the factory workers is in a staff function because they don't make cars but help those who do

Examples of line and staff functions



Line functions focus on core business activities, while staff functions support them

Conflicts between line and staff functions

- Both line and staff functions are essential
  - Line functions **drive** the business, and staff functions **enable** it to run smoothly

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- However, conflicts sometimes arise between them
  - This conflict can arise due to **differences in perspective**, **poor communication** or **unclear roles**
  - Managing these conflicts well helps a business stay productive and efficient

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Examples of conflicts between line and staff functions

Reason for conflict	Explanation	Example
Advice versus authority	▪ Staff functions, like HR or finance, may give advice, but line managers may ignore it if they prefer to act on their own judgement	▪ An HR advisor recommends hiring a candidate based on skill tests, but the line manager chooses someone else based on experience
Lack of understanding	▪ Staff may not fully understand the practical challenges of production or customer-facing roles, leading to unrealistic suggestions	▪ A finance team sets strict budget limits without understanding urgent production needs on the factory floor
Communication breakdown	▪ Poor communication between staff and line departments can lead to confusion or delays	▪ The IT department changes a system without informing sales staff, disrupting their ability to serve customers
Conflicting priorities	▪ Line functions focus on immediate results, while staff functions may focus on long-term strategy or legal compliance	▪ A sales manager wants to launch a new offer quickly, but the legal team delays it while they carry out contract checks
Perceived interference	▪ Line managers may feel that staff departments are interfering in their responsibilities	▪ A production manager resents the HR department stepping in to handle disciplinary issues in their team

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